

evidentiary facts, in order for the cross-complaint to adequately state the alter ego claim against Smith. (*Rutherford Holdings, LLC v. Plaza Del Rey* (2014) 223 Cal.App.4th 221, 235-236 [holding the alter ego allegations were sufficient where the complaint alleged that "Caswell dominated and controlled PDR; that a unity of interest and ownership existed between Caswell and PDR; that PDR was a mere shell and conduit for Caswell's affairs; that PDR was inadequately capitalized; that PDR failed to abide by the formalities of corporate existence; that Caswell used PDR assets as her own; and that recognizing the separate existence of PDR would promote injustice."].)

The demurring parties argue that the Sequoia Parties' allegations against Smith are "false" because he does not own any of the real properties, and they argue that the Sequoia Parties admitted in the cross-complaint that they violated the law by agreeing to the illegal conduct Smith was demanding. (Reply p. 8.) Neither argument accurately reflects the allegations of the cross-complaint. The Sequoia Parties allege that Smith is the owner of the entities that are the property owners, and that he is the alter ego of those entities based in part on that ownership. (X-Compl. ¶¶ 27-29.) The Sequoia Parties allege that they "refused to comply" with Smith's demands that they engage in illegal conduct which led to the termination of the parties' business relationship. (X-Compl. ¶¶ 34-36.)

The Court also rejects the demurring parties' argument that the cross-complaint fails to allege facts to support alter ego liability against Smith. The cross-complaint does far more than merely make conclusory allegations regarding Smith's alter ego status or allege Smith's ownership or control of the Fuller Cross-Defendants. (X-Compl. ¶¶ 27-38.) They allege numerous facts regarding Smith's commingling of corporate assets, use of corporate funds for his personal benefit, failure to maintain the corporate formalities and use of the Fuller Cross-Defendants as mere shells or conduits for the conduct of his individual business ventures, among other allegations. (X-Compl. ¶ 27.) They allege that (a) Smith exercised "complete control and direction" over the Fuller Cross-Defendants; (b) Smith personally directed the Sequoia Parties to engage in "illegal acts and practices" related to the tenants and pressured the Sequoia Parties to perform unlawful acts despite being informed of the applicable laws; (c) Smith's "individual acts" regarding the foregoing and in subsequently causing the termination of the business relationship between the Sequoia Parties and the Fuller Cross-Defendants is tortious and makes him individually liable; (d) Smith's conduct was intentional and willful; and (f) his personal participation in directing the unlawful acts "strips him of any protection afforded by the corporate form and renders him personally liable for the damages caused" to the Sequoia Parties. (FAC ¶¶ 29-38.) These allegations meet the requirements for alleging facts to support alter ego liability against Smith under the applicable law.

The general demurrer by Smith to the cross-complaint in its entirety for failure to state a cause of action against him is **overruled**.

9. 9:00 AM CASE NUMBER: C24-00633
CASE NAME: ELI HAZAN VS. VOLKSWAGEN GROUP OF AMERICA, INC.

FILED BY:
TENTATIVE RULING:

This hearing is continued, *sua sponte*, to October 28, 2026 at 9:00 a.m. No appearance is required at the hearing on September 9, 2026 at 9:00 a.m. Briefing is closed.